

Warby Parker WRBY

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by

Robot1

			2026	2027
Price:	24.86	EPS	0	0
Shares Out. (in M):	126	P/E	0	0
Market Cap (in \$M):	3,121	P/FCF	0	0
Net Debt (in \$M):	-288	EBIT	0	0
TEV (in \$M):	2,833	TEV/EBIT	0	0

Description

Bet: Based on the historical trading range for the Core omni-channel eyeglasses business, I think the upside potential from smartglasses is not appropriately captured in WRBY's current valuation. From \$25, I think up \$5 is much more likely than down \$5 over the next 6 months.

Beginning Valuation:

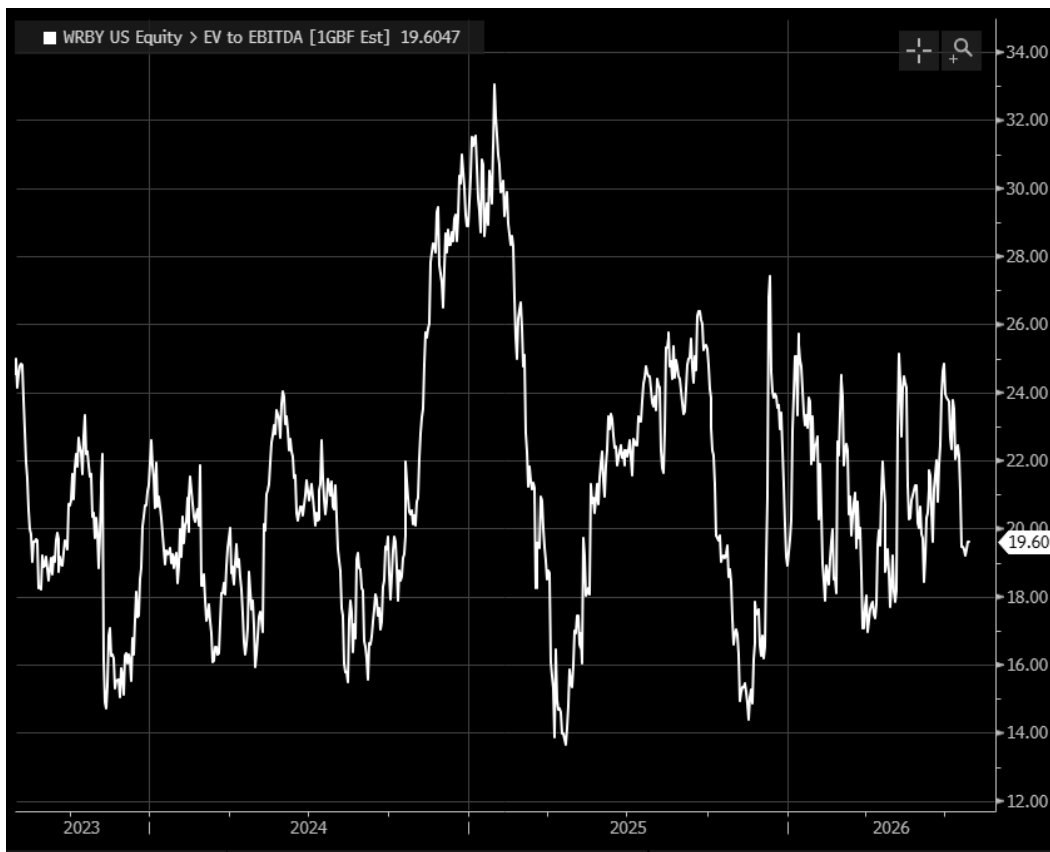
WRBY's historical growth algo has been 10-15% revenue growth with 100-200bps of margin expansion annually. This implies 149mm EBITDA in 2027 and 186mm EBITDA in 2028 (explicitly: without any smartglasses revenue). In recent history, this algo has been achieved:

		2022	2023	2024	2025	2026	2027	2028
Rev		593	670	771	872	968	1,088	1,224
% Growth			12.9%	15.2%	13.0%	11.0%	12.5%	12.5%
EBITDA		26	52	73	95	118	149	186
% Margin		4.4%	7.8%	9.5%	10.9%	12.2%	13.7%	15.2%
% Incremental Margin			34.7%	20.4%	22.0%	23.9%	25.7%	27.2%
Incremental bps				165 bps	144 bps	128 bps	150 bps	150 bps

According to Bloomberg, the street is at 156mm/218mm for 2027/2028. Thus only 7mm incremental dollars seem to be in estimates for next year and 32mm for the year after. At \$25, WRBY is trading at 19.0x next year's historical-growth-algo-implied EBITDA and 15.2x 2028:

WRBY		
Price	\$ 24.86	
Shares	125.6	
Cap	3,121	
Cash	288.2	
Debt	-	
Net Cash	288	
Per Share	\$ 2.30	
EV	2,833	
EBITDA	Mult	
118	24.0x	2026e
149	19.0x	2027g
186	15.2x	2028g

WRBY's historical trading range is approximately 16-24x NTM EBITDA:



Using this historical trading range of the Core as an “anchor of value”, we can deduce the implied EV of the smartglasses optionality at various multiples of Core:

NTM EBITDA		134	134	134
Multiple of Core		16.0x	20.0x	24.0x
EV of Core		2,136	2,670	3,204
Net Cash		288	288	288
MV of Core		2,424	2,958	3,492
Memo: Core Value per Share		\$ 19.31	\$ 23.56	\$ 27.81
WRBY Market Cap		3,121	3,121	3,121
Less: MV of Core		(2,424)	(2,958)	(3,492)
Implied Value of Smartglasses option		697	163	(371)
Memo: Smartglasses per Share		\$ 5.55	\$ 1.30	\$ (2.95)

*Note: NTM is a blend of 2026 and 2027

At 16x Core, we are paying an implied 697mm for the smartglasses option. At 20x, we are paying 163mm for the option. (At 24x, we'd be collecting 371mm for the option.)

Smartglasses Optionality:

There are many ways to try to model the incremental dollars possible from smartglasses. All of them are exercises in false precision, but they do help quantify the potential magnitude of the opportunity.

Three key inputs: number of units, ASP, gross margin.

- 1-2mm units in year one? Meta Ray Ban sold 7mm last year and is producing 20-30mm this year. (Source: Loop Capital)
- \$350-500 ASP? (Source: [Shop Ray-Ban and Oakley Meta AI Glasses and Sunglasses | Meta Store](#))
- A consumer electronics gross margin of 20-40%?

Incremental Revenue					
		Units			
		0.50	1.00	2.00	4.00
ASP	\$ 350	175	350	700	1,400
	\$ 400	200	400	800	1,600
	\$ 450	225	450	900	1,800
	\$ 500	250	500	1,000	2,000
Incremental Gross Profit					
		Rev			
		200	400	800	1,600
GM%	20%	40	80	160	320
	25%	50	100	200	400
	30%	60	120	240	480
	35%	70	140	280	560
	40%	80	160	320	640
Incremental OpEx		15.0%			
Incremental EBITDA					
		Rev			
		200	400	800	1,600
	5.0%	10	20	40	80
	10.0%	20	40	80	160
EBITDA%	15.0%	30	60	120	240
	20.0%	40	80	160	320
	25.0%	50	100	200	400

Competition – Does it matter at the current price?:

A key part of the bet/a large perceived risk is whether WRBY needs to win the market or not. META has a product out. AAPL is launching one next year. Etc. At current valuation, and given the current nascent nature of the market, I believe the answer is “it likely doesn’t matter”.

Or said differently: At a \$400 ASP and 10% EBITDA margin, every 1mm smartglasses generates 40mm of incremental EBITDA. This is compared to, as mentioned above: “At 16x Core, we are paying an implied 697mm for the smartglasses option. At 20x, we are paying 163mm for the option.”

Other Considerations:

- Will there be cannibalization of the core business? (e.g. Will I buy one fewer Rx glasses for myself when I buy the smartglasses?)
- 2026 expense guidance includes pre-launch expenses for the smartglasses but no smartglasses revenue
- Recent core business trends
- Marketing expense is guided to meaningfully pick up in 2H (not including further extra marketing via their Google expense reimbursement mechanism)
- The Google partnership has 70mm left on it and supposedly much will be spent on marketing
- There could be a Halo Effect from the smartglasses - pushing incremental customers to the stores/website more frequently, driving up sales in the core business.

Key Risks:

- The core business trends deteriorate in such a way that investors impair the long term value of the brand/core business
- The smartglasses launch is a flop

Summary:

Based on the historical trading range, I think \$25 is not a crazy price to pay for the option. I think \$30 is more likely than \$20 in the next 6 months.

Catalyst:

The glasses are supposed to come out “this fall” (prior to the holidays), so I’ve been guessing October-ish.

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Catalyst

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Messages

No messages